

GEARED FOR GROWTH

Bajaj Finance has set in motion a new strategy to expand its customer base, products, as well as geographical reach

BY ANAND ADHIKARI

I **AM ADDICTED** to success. But I believe my main strength lies in my mind. Numbers don't lie. If you look at the last 15 years, my level has consistently remained high. If you don't commit 100%, you won't achieve the level you aspire to. I've dedicated myself so much that success has become a part of me. Records are part of me. I don't follow the records. The records follow me."

If you are conversant with the financial services world, chances are you would attribute that quote to Rajeev Jain, the 53-year-old Managing Director of Bajaj Finance.

That's because the non-banking finance company (NBFC) from auto giant Bajaj Group's stable wasn't even in the game 16 years ago. The turnaround began after Jain joined the company in 2007. The company shattered all records in terms of growth and shareholders' returns under Jain's leadership.

With the support of the late Rahul Bajaj, former chairperson of Bajaj Group, and Nanoo Pamnani, former chairman of Bajaj

Finserv, Jain marched forward, scoring goals one after another. In the last 16 years, the company's total income has compounded annually at 34%, while net profits have compounded at 52%. Assets under management (AUM) have increased 100 times. In terms of return ratios, the ROA has jumped from 0.7% to 5.3%, while ROE increased from 2% to 23.5%. Its continued good performance ensured that it topped the list of large NBFCs in the BT-KPMG Best Banks and NBFCs Survey 2022-23.

Now, returning to that quote above, it's not from Jain, it's taken from a video clip of Portuguese football legend Cristiano Ronaldo, one of the greatest of all time. And though Jain isn't a football enthusiast, he shows this video to employees as an example of how great people think and how hard work is the key to their success. It is what he takes as inspiration as he readies to deliver on the FY27 strategy to become a leading payments and financial services company in India. The firm is aiming for more than 100-120 million customers by

STRATEGY

- Operate like a bank with a full suite of products
- Focus on mass affluent customers
- Diversified financial services under one roof
- Increase the share of retail in total liabilities from 23% at present to 25% in the medium term
- Target ROE of 20-22% in medium term
- Focus on innovation and customer service to sustain growth
- Ensure that 25% of the business comes from digital channels

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